

The Indian Securities Fraud Class Action:

Is Class Arbitration the Answer?

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SECTION 245

COMPANIES ACT OF 2013

- Standing ✓
- Membership ✓
- Remedies ✓
- Financing ?
 - *Bar Council of India v. A.K Balaji* (2018)
 - Advok8
- “The glacial speed of the Indian courts” ✗
 - Too few judges
 - Lawyer incentives
 - Procedural rules
 - NCLT different?

SECTION 245

COMPANIES ACT OF 2013

1. K N Pillai v. R Prasanth
2. Vijaykumar v. SPM Exports Pvt. Ltd.
3. Jacob Mathew v. A.V. George and Ors.
4. Mr. Samvid Legal Zetatek Technologies Pvt. Ltd v. Gagan Aerospace Ltd & Ors
5. Atul Khanna v. Union of India & Ors.
6. Shumanto Gupta v. Ablaze Info Solutions Pvt. Ltd & Ors.
7. Kamlesh Kumar Sen & Ors v. Gee Pee Hi Tech Industries
8. Abhimanyu Singh & Ors v. Brijnandan Industries
9. Shiv Sevak Singh v. Ablaze Info Solutions Pvt. Ltd. & Ors
10. UCO Bank v. Shree Shyam Pulp And Mills Ltd.
11. Mr. Sanjay Lalchand Siriah v. M /s White Street Engineering Solutions Pvt Ltd & Ors

CLASS ARBITRATION

- **U.S. Experience:**
 - **517 class arbitrations commenced 2002-2018 (AAA)**
 - **One or three arbitrators paid by the parties**
 - **Rules designed by parties, but AAA mimics Fed. R. Civ. P. 23**
 - **Not any speedier than court**
 - **Most settle before a merits determination**
 - **Very limited appeal**
 - **U.S. Supreme Court disparaged in 2011**

CLASS ARBITRATION IN INDIA?

- “The glacial speed of the Indian courts”
 - Too few judges ✓
 - Lawyer incentives ?
 - Procedural rules ✓
- But what about U.S. Supreme Court?
 - Allow more appeals?
 - Don’t let parties change the rule allowing class actions!